Brazil Macro Monthly

Fiscal pressure limits benefits of global disinflation

Highlights

- The risk of a global recession intensifies. As a result, lower commodity prices and higher risk aversion brings down inflation but weakens Latin-American assets.
- We maintain the forecast of a 2.2% increase for Brazil's GDP in 2022, but with a positive bias. For 2023 GDP, we continue to anticipate a 0.5% gain, currently without bias.
- 2022 IPCA forecast maintained at 7.0%. For 2023, higher fiscal spending and updating in the administered goods forecast raised the projection from 5.0% to 5.5%.
- We now estimate a primary balance surplus of BRL 56 bn (0.6% of GDP) for public sector in 2022 thanks to higher dividends from SOE. For 2023, we incorporated a permanent increase in expenditures, which would lead to a deficit of 1.0% of GDP.
- Despite the volatility expected for the coming months, we keep our FX forecast at 5.00 BRL/USD for YE2022 and 5.30 BRL/USD for YE2023.
- In our baseline scenario, the Copom keep the Selic rate at 13.75% until mid-next year. Since we incorporate a more expansionary fiscal policy, we adjust our YE 2023 Selic rate forecast to 10.00% from 9.25%.

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XP Forecasts

	2018	2019	2020	2021	2022 (F)	2023 (F)
GDP growth (%)	1.8	1.2	-3.9	4.6	2.2	0.5
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	9.0	9.2
IPCA (CPI, 12m, %)	3.8	4.3	4.5	10.1	7.0	5.5
SELIC rate (% p.y., end of period)	6.50	4.50	2.00	9.25	13.75	10.00
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.00	5.30
Primary fiscal balance (% GDP)	-1.6	-0.9	-9.5	0.7	0.6	-1.0
Gross debt (% GDP)	75.3	74.3	88.8	80.3	79.5	84.5
Trade Balance (USD Bn)	46.6	35.2	50.4	61.4	67.0	48.0
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Imports (USD Bn)	185.3	185.9	158.8	219.4	265.0	286.5
Current Account (USD Bn)	-51.5	-65.0	-24.5	-28.1	-20.5	-36.0
Current Account (% GDP)	-2.7	-3.5	-1.7	-1.7	-1.1	-1.8
FDI (USD Bn)	78.2	69.2	44.7	46.4	55.0	65.0
FDI (% GDP)	4.1	3.7	2.9	2.9	2.9	3.3
Nominal GDP (USD Tri)	1.80	1.83	1.43	1.55	1.87	1.96
Nominal GDP (BRL Tri)	7.00	7.39	7.47	8.68	9.56	10.10

Source: IBGE, BCB, Bloomberg, XP.

Foreword – Global monetary policy and domestic fiscal outlook: Two uncertainties that should not go away anytime soon

The uncertainties about how much the Fed and the ECB will tighten and about the future of fiscal policy in Brazil have caused volatility in Brazilian assets.

The Fed hiked by 75 bps once again in July, taking interest rates to the range of 2.25%-2.50%, and signaled that the next decisions will be data dependent. The economy is slowing, which has encouraged markets to believe rates will not rise much beyond 3%. But inflation remains high, and the labor market seems overheated. From this perspective, inflation may not recede before interest rates exceed 4% or 5%.

If the second scenario proves to be correct, a global recession becomes more likely, and risky assets may fall further. We suspect that this uncertainty will last at least until the end of the year, when (and if) inflation starts to subside.

On the domestic side, the future of fiscal policy is key to sustainable growth. Despite the recent improvement in tax collections, public debt remains high. Since June, we have implemented almost R$150 billion in expansionary measures, among tax cuts and spending increases.

The next government will face enormous pressure to extend these measures and adopt new ones (such as increases in civil servants' salaries). In the fiscal section of this report, we showed that this could mean a new Constitutional Amendment authorizing almost R$200 billion in permanent expenditure increases. It is difficult to stabilize the debt dynamics in this scenario, especially because interest rates would remain at high levels.

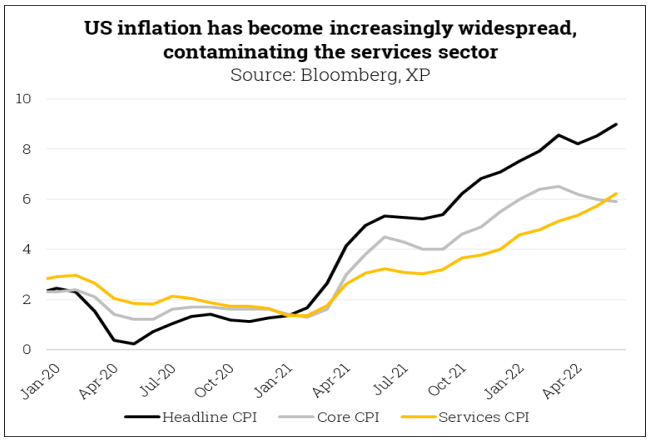
As is the case for global monetary policy, the future of fiscal policy is also unlikely to be clear until the presidential elections in October.

These uncertainties make the job of economic forecasting even more challenging. In our baseline scenario, we assume that US interest rates will not exceed 4% and that there will be some kind of fiscal anchor in the next presidential term. In this scenario, inflation fades throughout 2023, opening room for some monetary easing. The exchange rate stabilizes around current levels.

The degree of conviction, however, is limited. Easier than projecting the Brazilian economy in 2023 is anticipating that the market will remain volatile in the second half of the year.

Global Backdrop: Risk to global economic activity has increased

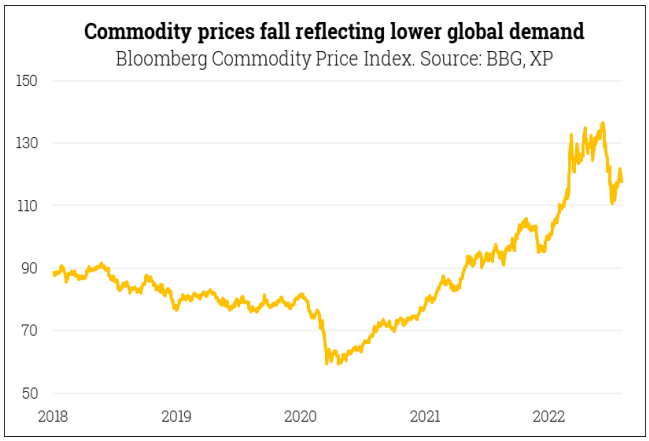
The US GDP falls but signs of overheating remain. As we had anticipated for a while, the US economy contracted for the second consecutive quarter, marking a technical recession. The slowdown was mainly driven by a downturn in investment and government appending, as well as a considerable slowdown in personal consumption expenditure growth. Nevertheless, the US economy does not present clear recession characteristics, given that the labor market is tight, demand remains high, and companies' profits continue to grow. Therefore, despite a range of indicators pointing to weakening economic performance, we do not anticipate a deep recession. We see the US GDP growing by 1.6% in 2022 and 1.5% in 2023.



The Fed hiked 75 bps again and will take interest rates into restrictive territory in their next meeting. We believe that the FOMC´s decision to maintain the strong tightening pace was mainly driven by the upward surprise in the June CPI print, which showed continued widespread price pressures, and the latest data suggesting that the labor market remains very tight. Interest rates have now moved to the level that we consider neutral (2.5%), and any additional hikes will take the policy rate into restrictive territories. We expect that the Fed will slow down the tightening pace from now on and deliver 50bps in September, followed by 25bps in November, reaching the terminal interest rates of 3.25%. We see room for rate cuts in Q4 2023 on the back of material disinflation and a slowdown in economic activity.

Economic activity continues to disappoint in China. The Chinese Q2 GDP showered a weaker than expected performance, suggesting continued deceleration and that the economy is taking longer to rebound from the strict lockdown measures imposed at the beginning of the year. Despite the ongoing fiscal stimulus, we believe the 5.5% growth target has become increasingly unlikely. We see China´s GDP expanding by around 3.2% in 2022, although risks remain to the downside given uncertainties regarding the zero-covid policy and the effectiveness of the stimulus measures.

Risks to the Euro Zone remain high. Despite economic activity having positively surprised market expectations, growth was mainly driven by the post-covid rebound in consumption and tourism. Nevertheless, the medium-term outlook is worrying, given uncertainty regarding restrictions on gas imports from Russia as winter approaches, as well as the impact of tighter monetary policy.

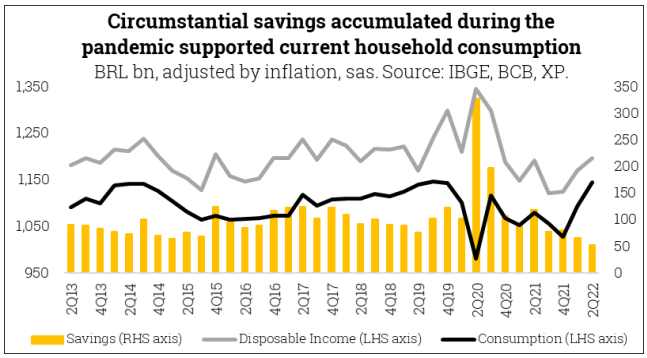


The outlook for Latin American assets worsens. Commodity prices have dropped in recent weeks, reflecting lower global demand. Despite our expectations that commodity prices will remain high throughout the year compared to historical levels, easing commodity prices combined with increased global risk aversion weakens our call for a solid performance of Latin American assets in 2022. Moreover, domestic political uncertainty and deteriorating current accounts are aggravating factors for some countries of the region.

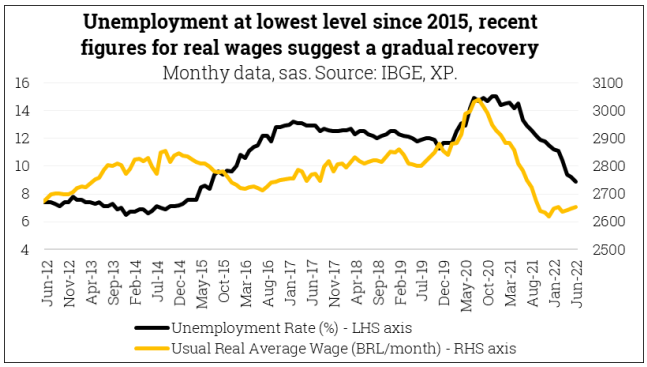
Brasil: Fiscal pressure limits benefits of global disinflation

Economic Activity – For now, no signs of trend reversal

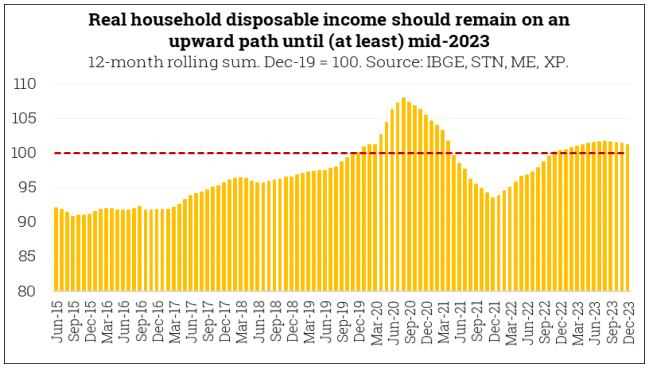
Brazil´s economic activity remains on an upward path. Household consumption expanded solidly in the first half of this year, driving up the goods and services sectors. In addition to the benefits of loosening coronavirus-related restrictions, personal spending has been boosted by the improvement in labor market conditions, increased government cash-transfers to vulnerable people, and the use of 'circumstantial savings' accumulated during the pandemic. For example, the seasonally adjusted jobless rate (own monthly estimate) dropped to nearly 8.9% in June 2022 from 11.5% in December 2021, with a widespread expansion across sectors and types of occupation. At the same time, the government's new social protection program ('Auxílio Brasil', with higher monthly benefit) added to short-term fiscal stimulus, such as the release of extraordinary FGTS withdrawals and the advance payment of bonus monthly wage guaranteed by law.



We estimate that Brazil's GDP increased 0.9% QoQ in 2Q22 (2.7% YoY), a growth rate very close to that recorded in 1Q22 (1.0% QoQ). The official results for 2Q22 will be published on September 1st.

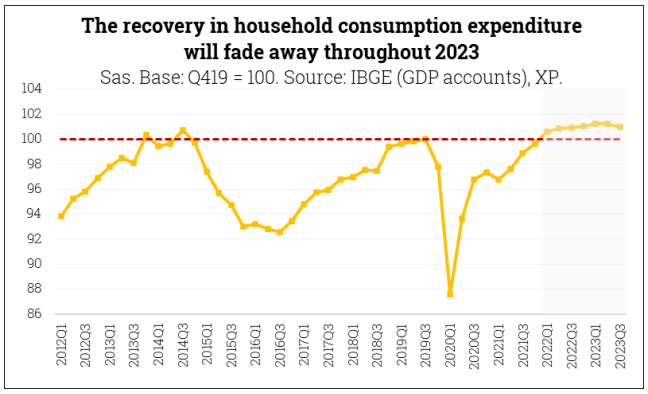


The household disposable income should continue at high levels in the coming months. The broad concept of income available to families rose by around 7% in the first half of 2022 compared to the second half of 2021, as per our estimates. Looking ahead, we expect the indicator to stay virtually flat in the current semester. For more information, see the report *XP Macro Special: Monitoring the pace of growth in household consumption*. We draw attention to the impact of the Constitutional Amendment 123/22, which brings additional fiscal stimuli that are expected to contribute to a milder deceleration of domestic activity in the short term than initially estimated. In our view, all income impulses should more than offset the downward effects of the rising interest rates and higher risk perception regarding both the global and local economic environments.



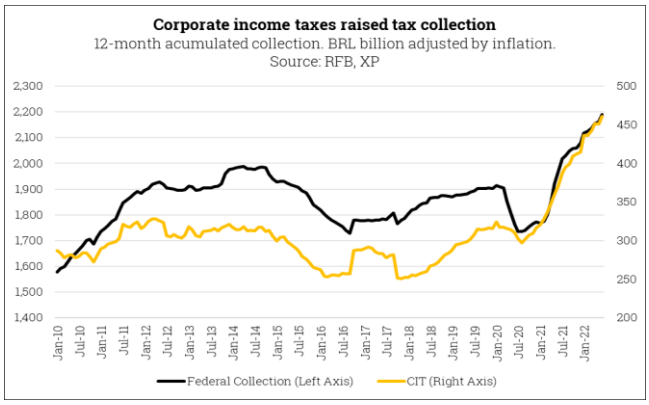
Hence, we reiterate the forecast that Brazil's GDP will grow by 2.2% in 2022, with a positive bias. In our baseline scenario, the rising trend in headline GDP should be interrupted in Q422. Nonetheless, we see the balance of risks around that annual projection as tilted to the upside, in line with the bullish surprises from recent releases for the labor market.

Lastly, we maintain the expectation of a 0.5% expansion in 2023 GDP, currently without bias. The stronger increase in household disposable income than previously thought (which considers higher benefits from the 'Auxilio Brasil' program on a permanent basis) offsets downward biases from the weaker global economy and mounting fiscal risks in the domestic environment, which deteriorate financial conditions and could keep interest rates high for even longer.



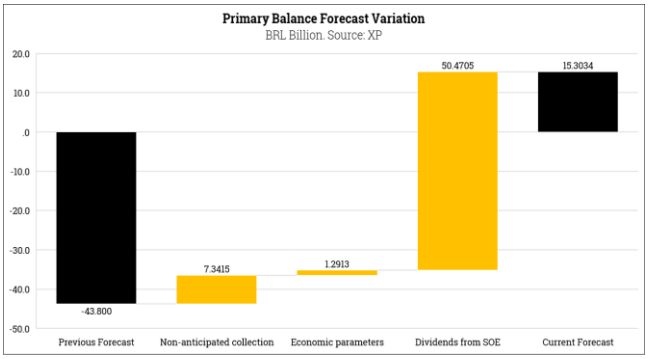
Public Accounts – We incorporated in our baseline scenario the permanent increase in expenses from 2023

Short-term results continue very positive. In June, federal tax collection grew 18% in real terms relative to the same month of the previous year, supported by the substantial growth of income linked to the profit and the payroll. In the accumulated 12-month period, the growth in collections has been driven by gains and IRPJ and CSLL, which rose by more than 24% in real terms. In addition, extraordinary revenues as concessions and dividends lead the Central Government to reach a 12-month surplus of BRL 75.1 billion, returning to positive territory for the first time since October 2014.



Dividends should boost revenues. The change in the dividend policy of state-owned companies requested by the federal government should result in significant additional revenues this year, which may exceed R$ 100 billion, mainly from Petrobras and BDNES. **Thus, we estimate a surplus of R$ 15.3 billion for the Central Government this year.**

We have incorporated into our scenario that expenses that are currently transitory will become permanent. Political discussions have indicated the maintenance of Auxílio Brasil at BRL 600 in 2023, with an estimated cost of approximately R$59 billion. In addition, the readjustment of public servants, the payment of postponed court orders and the creation of new expenses must be incorporated into the budget for next year.



Thus, we have adopted the hypothesis of a reform of the spending cap fiscal rule, with an increase in the limit in 2023 to accommodate new expenditures and corrections in line with inflation in the coming years (see table).

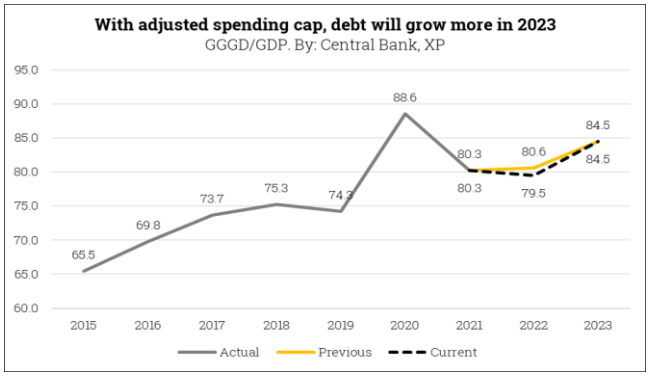
As a result, the Central Government will once again show a deficit of R$ 126.6 billion, or -1.2% of GDP. However, we recognize that there is an additional risk of exemptions on fuel taxes being maintained in 2023, which could lead to a loss of revenue of up to R$52 billion.

More pressure on expenditures in 2023	
Measures	Impact (BRL billion)
Auxílio-Brasil Extension	59.2
Public Servants Wage Adjustment	31.3
Court orders (EC nº 114/2021)	57.6
Auxílio-gás Extension	3.8
Others	12.7
PERSE	2.5
Community health workers' minimum wage	3.8
ICMS compensation	3.4
Cultural sector transfers	3.0
	164.6

States are expected to have significant revenue loss in the second half of the year. The effects of Complementary Law No. 194/2022, which established a ceiling for ICMS rates on fuel, electricity, communications, and public transport, should lead to a loss in revenue of around BRL 46 billion in the second half of this year.

Thus, the consolidated public sector (Central Government, States and Municipalities, and State-owned companies) should close the year with a smaller surplus, **of R$ 56 billion or 0.6% of GDP. For 2023, we estimate a deficit of BRL 106.5 billion, or -1.0% of GDP.**

With the improvement in the primary result in 2022, the General Government Gross Debt (GGGD) ratio should fall this year, reaching 79.5%. But from 2023 onwards, with the increase in expenses due to the change in the spending cap rule, and the higher nominal interest account due to the maintenance of the Selic above double digits for a longer period, **the public debt should grow further (see graph).**

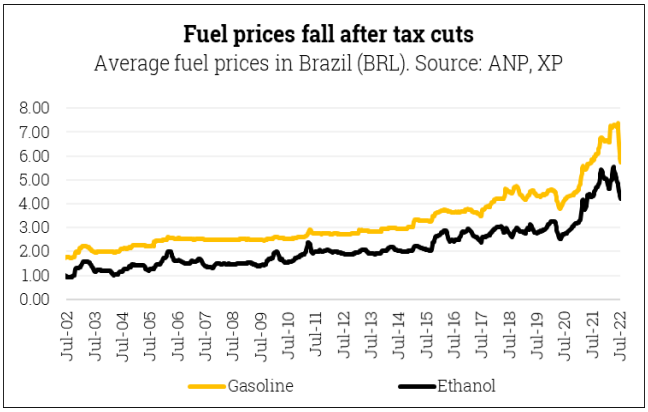


Despite the change in the rules, we believe in maintaining some fiscal anchor (adjusted ceiling, debt target, etc.) as of next year. Any change in the spending cap rule should focus on stabilizing and reducing public debt in the long term. The rise in expenditures may lead to an increase

in debt in the short term, but if these remain growing in line with inflation, it is possible to maintain the sustainability of public accounts, albeit at very high debt levels.

Inflation – Higher spending, slower disinflation

Fiscal stimuli increase demand and diminishes inflationary deceleration. We maintain our inflation projection for 2022 at 7.0%, in line with the effect of tax cuts, but we revise our forecast for 2023 IPCA from 5.0% to 5.5%, due to higher pressures on services and administered goods.



The 2022 IPCA should close at 7.0%. Since our last inflation revision (link), when we incorporated the effects of tax cuts on electricity, fuel and telecommunications, the data have confirmed deflation, consistent with this scenario. We have already observed significant drops in fuel and energy prices, while telecommunications have not yet registered a decline. We are projecting deflation for July and August of this year, and the 12-month accumulated IPCA should return to single digits.

Without these tax cuts, inflation would be between 9% and 10% this year. Despite short-term deflation, the fall in prices is concentrated on a few items. Inflation diffusion should pull back a bit from the current level of 70%. Despite slowing industrial goods and services inflation, according to our projections, prices should continue rising given the environment of persisting high costs and demand, amid additional stimulus (increased benefit from the Brazil Aid and other measures that will inject more than 40 billion into the economy starting in August).

In our base case, we consider a 5% increase in the price of gasoline by Petrobras in the last quarter of the year. This represents a downside risk to our forecast of approximately 0.20pp.

For 2023, inflation convergence to the target will be even more difficult. Even if the recent fall in commodities in Brazilian reals brings some relief ahead, higher government spending, mainly through monetary transfers (as discussed in the fiscal section) next year, should mitigate the slowdown in consumption and keep inflation expectations high. Thus, we have raised the services inflation forecast for next year from 6.5% to 7.2%, considering that monetary policy should be tightener during the year.

CPI forecast for 2023

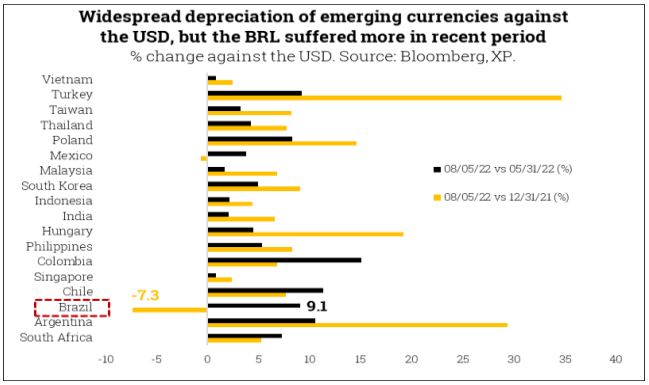
	Previous		Current	
	Variation	Contribution	Variation	Contribution
IPCA	5.00	4.98	5.50	5.47
Food at home	3.50	0.53	3.50	0.53
Services	6.50	2.28	7.20	2.52
Industrial goods	2.00	0.50	2.00	0.50
Monitored prices	6.70	1.68	7.70	1.93

The inflation of administered goods will rise again in 2023. In addition to the higher inflationary pressure on services, we have revised our projection for managed goods in 2023 from 6.7% to 7.7%. Within the subgroups, we raised the forecast for medicines, health insurance and public transportation. Besides, we maintained in our scenario the reversal of federal taxes reductions on gasoline and ethanol as of January 2023, which implies an impact close to 0.40pp. It is an important downside risk for our baseline scenario.

Thus, our projection for 2023 increased from 5.0% to 5.5%.

External Sector – More volatile exchange rate amid global and domestic uncertainties

The exchange rate remains volatile. The Brazilian Real (BRL) appreciated around 7% against the US dollar (USD) since mid-July, when it reached the level of 5.50. Higher global risk appetite, particularly with the pricing of a less aggressive Federal Reserve's monetary policy, explains a significant part of that recent movement. On the other hand, growing uncertainties regarding the domestic fiscal outlook have maintained the Brazilian exchange rate under pressure and highly volatile. The BRL is among the emerging currencies that have weakened the most against the USD in recent months.



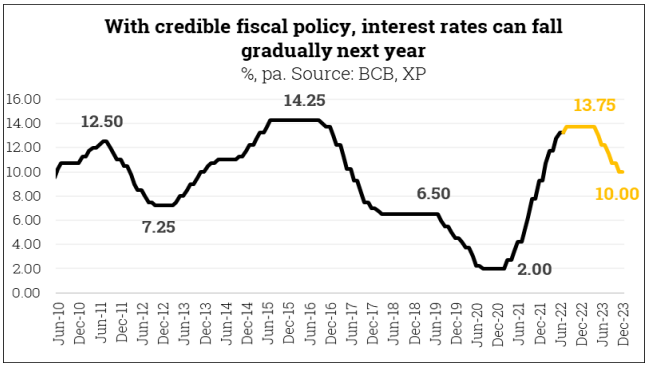
We maintain the expectation that exchange rate will end 2022 at BRL/USD 5.00. Our baseline scenario considers further decompression of risk premiums after the local elections, in addition to relatively high levels of commodity prices and clearer signs of disinflation (albeit gradual) in the global economy by the end of this year. For the end of 2023, in turn, we Project the exchange rate at BRL/USD 5.30, in line with concerns about the fiscal consolidation agenda in Brazil.

External accounts are not a source of concern. The latest official data for the Brazilian balance of payments refer to March 2022, due to the strike by Central employees that was interrupted a few weeks ago. Nonetheless, the main messages persist, namely: (I) the trade balance shows a high surplus - around USD 50 billion in the 12-month rolling sum – with sharp expansion in both the value of exports (especially agricultural products) and imports (fuels play a major role); (II) the deficits in the primary income and services accounts are increasing, in the wake of the economic reopening and solid recovery of domestic activity, which boost the demand for international travel, transport services and equipment rental; (III) net inflows of Foreign Direct Investment (FDI) remain at satisfactory levels, above 3% of GDP.

Therefore, the outlook of sound sources of funding for the (relatively low) current account deficits is unlikely to change anytime soon. We expect the current account balance to reach -USD 20.5 billion (-1.1% of GDP) in 2022 and -USD 36.0 billion (-1.8% of GDP) in 2023. That is, considerably better results compared to those recorded in the pre-pandemic period (-USD 65.0 billion or -3.5% of GDP). Meanwhile, the FDI should amount to USD 55.0 billion (2.9% of GDP) this year and USD 65.0 billion (3.3% of GDP) next year, levels close to the figure seen in 2019 (USD 69.0 billion or 3.7% of GDP).

Monetary Policy – Wait-and-see now, cuts in 2023. But with a big fiscal uncertainty.

With global inflation pressures beginning to fade, **we believe the Copom will finally move to the "wait-and-see" mode it has been signaling for a while**. In our baseline scenario, the Copom keeps the Selic rate at 13.75% until mid-next year.



We recognize, though, that it may opt to go a bit further, to ensure that IPCA will fall in coming quarters.

Under normal circumstances, the Copom should find room to start easing monetary policy next year. Real interest rates (considering inflation expectations) are close to 8%, which is very high even for

Brazil. Particularly after important structural reforms approved in recent years, such as Social Security, TLP and Central Bank Independence.

Those are not normal circumstances, though. As mentioned above, there is almost no clarity on what the fiscal framework from 2023 onwards will be. A deeper and more permanent change in fiscal policy, that makes debt-sustainability outlook even cloudier, may change completely the parameters for monetary policy in the years to come.

In any event, since we incorporate a more expansionary fiscal policy in 2023 in our baseline scenario, the Copom will have to ease monetary policy more gradually. Thus, we adjust our 2023 yearend Selic forecast to 10.00% from 9.25%.

XP Forecasts

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FDI (% GDP)	4.1	3.7	2.9	2.9	2.9	3.3
Nominal GDP (USD Tri)	1.80	1.83	1.43	1.55	1.87	1.96
Nominal GDP (BRL Tri)	7.00	7.39	7.47	8.68	9.56	10.10

Source: IBGE, BCB, Bloomberg, XP.

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